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# Equinix Inc. (EQIX.O)

## Takeaways from Equinix 3Q Earnings Call and Management Callback

### CITI'S TAKE

Equinix delivered a strong 3Q with favorable headlines and KPIs with an uplift in 2026 guidance. Our take is that recurring revenue growth should continue to have an upward bias in 2027 and we believe the company could execute at the higher end of the annual long-term target of 10-13%, given the elevated focus on pricing/monetization, accelerated development timeline for new capacity, opportunity to push utilization higher, lower average quarterly MRR churn, and early positive signs on potential benefits from expanding demand for AI inference. We maintain a positive view on 3Q results, its 4Q outlook, and 2027 prospects. We expect Buy-rated EQIX (our sector top pick) to trade higher near-term.

| Buy | |
|---|---|
| Price (28 Oct 26 16:00) | US$1,007.66 |
| Target price | US$1,260.00 |
| Expected share price return | 25.0% |
| Expected dividend yield | 2.2% |
| Expected total return | 27.3% |
| Market Cap | US$99,428M |

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We share our takeaways from the earnings call and callback:

**Sales Activity** – Total sales activity, including bookings and pre-sales, increased 38% year over year, including bookings of $533 million, up 35% YoY. Equinix noted it has already booked ~60% of its 4Q bookings target, and backlog "sold but not yet installed" reached a record level, supported by a strong demand pipeline. Equinix remains intentional on pre-selling activity (managing and power densities) to support a mid-20% returns for its data center portfolio.

**Demand** – Equinix described the strength and durability of its broad-based demand profile, while the mix of top-50 customers declined sequentially as a % of revenue with newer customers contributing larger footprint deals to its portfolio.

**Pricing** – Pricing is becoming a more meaningful growth lever, which management expects to continue. New deal pricing increased 12% YoY, while the company is also seeing favorable increases on contract renewals through the repricing of in-place contracts, supported by strong visibility into its available-to-renew base. Equinix also highlighted incremental opportunities such as power densities and interconnection portfolio, all of which should support MRR/cab growth. We believe a majority of rental revenues could be subject to 1-year deals, creating a potential mechanism for a better portfolio monetization outcome in 2027, although there could be some intentional churn to release capacity at market rates.

**AI Commentary** – Cabinet densities are still rising, while EQIX is expanding what we believed to be AI-related network nodes again in the quarter (to 150). Neoclouds are an opportunity add to its ecosystem, although less than 2% of MRR currently. Early

**See Appendix A-1 for Analyst Certification, Important Disclosures and Research Analyst Affiliations**

signals from current and upcoming frontier lab deployments point to favorable interconnection density and the opportunity to leverage those customers as magnets for its expanding ecosystem.

**Interconnection** – Interconnection remained a key growth driver, with stabilized revenue increasing 10% YoY. Equinix also highlighted several initiatives introduced during the quarter, including Inference Exchange and Fabric One, which should support interconnection growth. While still early, Equinix believes the growing presence of AI model providers will drive interconnection demand.

**Capacity Delivery** – EQIX expects to exceed its initial development delivery target by 40% still and sustain an elevated pace of new development delivery over the next few years. EQIX expects to bring approximately 13k cabinets online in 4Q, roughly 20% of which have already been pre-sold, while 15% of 2027 retail capacity is already committed. Management also highlighted its deep development runway, with 80% of its 3GW developable pipeline located in top-25 metros, further supplemented by atNorth.

**Utilization** – Equinix believes there is an opportunity to improve utilization from the current 78% level, potentially moving closer to the 83% utilization achieved within its stabilized portfolio with a market-by-market approach to monetizing under-utilized capacity (5 test markets under way currently and showing positive early results).

**Churn** – Lower quarterly MRR churn of 1.7% (relative to the 2.0-2.5% target) was primarily driven by the timing and execution of contract renewals and reflects strong renewal performance, including proactive engagement with customers ahead of available-to-renew dates, as well as the benefits of a capacity-constrained environment.

**Financial Outlook** – EBITDA margins are historically seasonally lower in 4Q, while 4Q26 margins should be up 140 bps yoy. Equinix was upbeat on its long-term guide that was updated last quarter.

# Equinix Inc.

## Valuation

Our $1,260 target price for Equinix is based on the average of the following methodologies:

Our DCF analysis is based on revenues that scale to $15.8 billion by 2030 and an EBITDA margin expanding to 54%. Based on these assumptions, including a WACC of 6.2%, a target debt-to-total capital ratio of 40%, and a consolidated terminal growth rate of 3.0%, we arrive at an operating enterprise value estimate of roughly $149 billion at year-end 2027. This is adjusted for net debt and other adjustments for investments and NOLs to arrive at an equity value of around $130 billion or $1,294 per fully diluted share.

On an EBITDA basis, we apply a 24.0x EV/EBITDA multiple on our 2027 EBITDA per share estimate of $59.06. Our multiple reflects an estimated 3-year EBITDA CAGR of 12.9% between 2027-2030, yielding a fair value of around $1,232 per share.

On an AFFO basis, we apply a 26.0x P/AFFO multiple on our 2027 AFFOPS estimate of $47.82. Our multiple reflects an estimated 3-year AFFO CAGR of 11.5% between 2027-2030, yielding a fair value of around $1,243 per share.

## Risks

Key risks to the achievement of our target price include:1) valuation elevated vs. historical levels; 2) interconnection consolidation; 3) acquisition integrations; 4) wholesale/retail lines blurring; and 5) rising rates. Other risks include the company's heavy investment in new projects. It is likely to still experience share price volatility and has some financial leverage.

Investment risks include: 1) product category growth is difficult to estimate; 2) pricing and demand for Equinix's colocation space and interconnection services may not increase as we have anticipated and forecast; 3) incremental revenue is heavily skewed to the success of selected markets; 4) capital spending could pick up with a reinvestment cycle; 5) rising interest rates could be a headwind on the multiple and valuation; and 6) our discretionary free cash flow or AFFO metrics may overstate the long-term free cash flow prospects for the company, depending on long-term capital intensity and growth initiatives. We also recognize the share price could decline to the extent REIT multiples fall and create a more challenging comparable to EQIX.

If the impact from these risks turns out to be greater or less than we anticipate, the shares could fail to achieve or rise above our target price.

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# Appendix A-1

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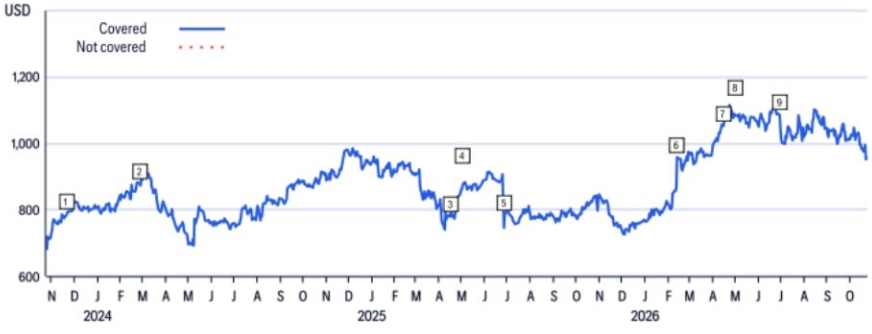
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Fundamental Research

Analyst: Michael Rollins, CFA




| | Date | Rating | Target Price | Closing Price |
|---|---|---|---|---|
| 1 | 21-Nov-23 10:00:58 | 1 | *895.00 | 788.32 |
| 2 | 26-Feb-24 18:08:42 | 1 | *1,020.00 | 877.62 |
| 3 | 16-Apr-25 17:30:00 | 1 | *970.00 | 778.68 |
| 4 | 02-May-25 11:26:46 | 1 | *990.00 | 875.85 |
| 5 | 27-Jun-25 05:47:05 | 1 | *950.00 | 785.11 |
| 6 | 12-Feb-26 03:38:47 | 1 | *1,070.00 | 957.87 |
| 7 | 15-Apr-26 06:53:55 | 1 | *1,200.00 | 1,052.98 |
| 8 | 30-Apr-26 04:03:50 | 1 | *1,240.00 | 1,082.83 |
| 9 | 29-Jun-26 00:36:17 | 1 | *1,260.00 | 1,085.17 |

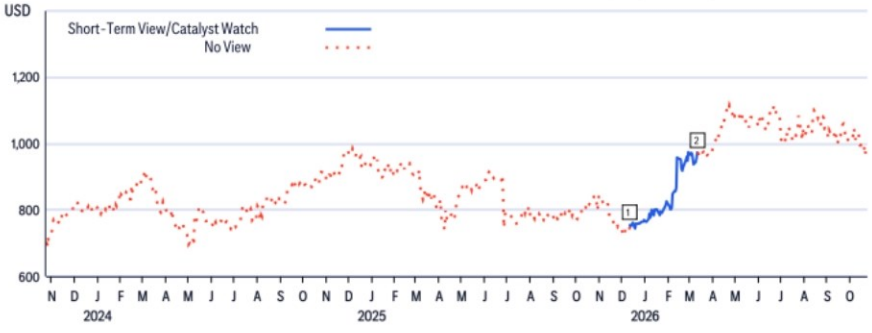
*Indicates Change

Rating/target price changes above reflect Eastern Time

Equinix Inc. (EQIX)

Short-Term View/Catalyst Watch Research

Analyst: Michael Rollins, CFA




| | Date | Action | Expected Direction | Duration | Closing Price |
|---|---|---|---|---|---|
| 1 | 11-Dec-25 01:39:09 | Add CW | Upside | 90 Days | 754.13 |
| 2 | 11-Mar-26 12:16:27 | Remove CW | Upside | 90 Days | 973.43 |

CW - Catalyst Watch , STV - Short-Term View

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|---|---|---|---|---|---|---|
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| Citi Research Global Fundamental Coverage (Neutral=Hold) | 61% | 32% | 7% | 36% | 48% | 16% |
| *% of companies in each rating category that are investment banking clients* | 39% | 43% | 30% | 42% | 38% | 36% |

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